to do. In the next section, we'll see what the numbers say about how this pattern behaves.

Statistics

Table 2.2 shows general statistics for the bearish AB=CD and tailored to the Fibonacci pattern. That means you won't find explanations for the table entries in the Glossary. Most are self-explanatory.

Number found. If you can program your computer to find them, you'll discover that they come out like worms after a heavy downpour. They were so plentiful that I limited the number catalogued per stock.

I found the first pattern in February 1990 and the most recent in February 2020, finding them in 884 stocks. Not all stocks covered the entire period, and some stocks no longer trade.

Table 2.2 General Statistics

Description	Bull Market	Bear Market
Number found	2,649	696
Breakeven failure rate	26.3%	10.2%
Average decline after D	–12.7%	–21.6%
Volume trend	54% Downward	58% Downward
Performance Up/Down volume	–13%U, –13%D	–19%U, –24%D

Breakeven failure rate. For those patterns that see price make it up to D and reverse there, this is a measure of how often price fails to drop more 5% (below the high at D). The bull market value is high (ranking fourth out of five, where one has the lowest failure rate), but the bear market rate, at 10.2%, is the worst of the five bearish Fibonacci patterns I looked at.

Average decline after D. This is a measure of the drop after point D, for those patterns seeing price make it up to point D and reverse there. As one would expect, the drop in bear markets is larger than in bull markets. If you were to trade the bearish AB=CD pattern perfectly and frequently, this is how much you could make on average. Commissions were not included.